

So, when we buy stocks in a bullish market, we need to be extremely cautious if we are paying for the true value or for the sentimental value that is in-built in the prices.

On the other hand, what if we purchase the shares in a Bear market?

When we buy during Bear markets we buy below the true value i.e. with negative sentimental value. As a result we tend to buy undervalued stocks. Now as the true value increases so do the sentiments, we tend to make profits which could have been missed due to high valuations.

So this is how opportunities can be created using bull and bear markets.



Buy a share whose true value is bound to increase due to improved quality or quantity of earnings even if the share is currently slightly overpriced. Increase in intrinsic value will ultimately increase the market price.

We ultimately want to buy stocks that are undervalued or for whom we can say that the true value will increase. Identifying opportunities is what we want from this book and this is what we will learn in the chapters ahead.